Note 4 - INCOME TAXES

Income taxes (benefit) consist of the following:

	2003	2002	2001
Current	$ 5,592	(7,498)	$(89,242)
Deferred	73,563	37,543	(1,457)
Total	$79,155	$ 30,045	$(90,699)

Note 4 - INCOME TAXES (continued)

A reconciliation of income tax at the federal statutory income tax rate to total income taxes is as follows:

	2003	2002	2001
Computed at the federal statutory Rate of 34%	$ --	$ 25,168	$(72,338)
State income tax (benefit)	--	4,441	(12,560)
Valuation allowance adjustment	73,563	(22,300)	22,300
Other adjustment	5,592	22,736	(28,101)
Total	$79,155	$ 30,045	$(90,699)

The components of deferred taxes are as follows:

	2003	2002
Deferred tax assets		
Allowance for doubtful accounts	$20,000	$12,000
Depreciation	12,000	11,693
Net operating loss carryover, less Valuation allowance of $221,200	--	27,300
Change in valuation allowance	(32,000)	22,300
Total deferred tax assets		73,563
Less Current Portion	--	12,000
Non current deferred tax asset	$ --	$61,563

The Company has a net operating loss carryover of approximately $376,000 to offset future taxable income. The carryover expires 2018. The Company has offset the deferred tax asset by a valuation of $221,200, since it cannot be determined more likely than not whether the Company will be able to utilize such net operating loss carryover. During the year ended December 31, 2003, the valuation allowance increased by $221,200.